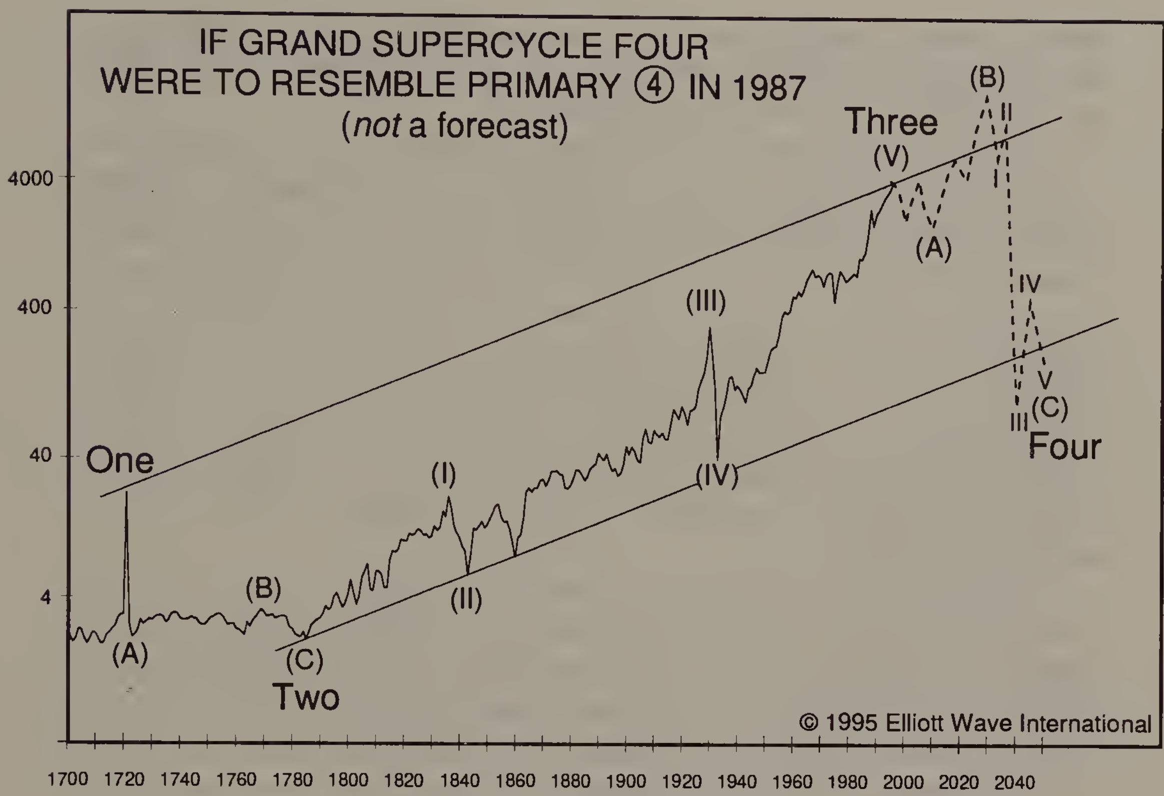

Figure 5-7

time of wave Two). It would trace out a drop to 1700, a move to a slight new all-time high, a drop back to 1700, a move to 16,000, then after a few years of topping, a crash in less than three months to below Dow 100 (one might assume it to be a panic associated with a nuclear attack), and it would all qualify as an expanded flat! What's worse, it would start with three waves down at Cycle degree, not a neat and easily analyzed "five" such as shown in Figures 5-8 and 5-9.

Figure 5-7 is not a forecast. Indeed, the chances of such a recurrence are nearly nil. The point this illustration makes is a larger one, that the exact path of the bear market could be extremely difficult to manage in real time, despite all we know about what it must accomplish before it is over. Corrections in progress are far more difficult to forecast than impulse waves, so it could be dangerous to rely upon any preconceived scenario. Alert analysis will be required throughout.

The Crash Of 1987 and the *Next* Crash

Elliott Wave Principle forecasted that "stock prices should not develop a bear market downswing similar to 1969-70 or 1973-74 for